

toll collection, digital transit payments and new convenient modes of payments for service,” Vivek Belgavi, fintech leader at consulting firm PwC told ET.

However, with the current pace of remonetisation, financial transactions may go back to the pre-demonetisation levels. Government data suggests that the present currency in circulation is 85 per cent of that before November 8, when high-value currency notes of ₹500 and ₹1,000 were discontinued in a bid to curb the rampant corruption in the country.

“The notes in circulation as on June 23, 2017 stood at ₹15,074.43 billion as against ₹17,540.22 billion as on October 28, 2016,” Minister of State for Finance Arjun Ram Meghwal recently said in a written reply to the Lok Sabha.

Demonetisation, as per an SBI report, helped India take a three-year leap forward in projected digital payment growth.

“If demonetisation had not happened, it would have taken 3-years more for credit and debit card transactions on PoS terminals to reach the current level of ₹700 billion (assuming a yearly growth rate of 25 per cent),” Soumya Kanti Ghosh, analyst of SBI, had stated in a report.

With global giants such as Google, Facebook and WhatsApp looking to come on board the UPI segment, it will give a major boost to digital payments, given their user-base in the country.

STARTUP INDIA

Launched in 2016, the start-up India initiative was meant to boost the entrepreneurial zest brimming in the country as the government allotted a fund worth ₹10,000 crores to be used through 2025.

The Union Budget of 2017, saw no major sops for start-ups, leaving entrepreneurs disappointed. Reportedly, there have been ample snags on the governance end, which is keeping the local start-up environment in a rut.

Processes involving income-tax exemption, registration of innovation are overly long and complicated, deterring people to take part in them. In fact, even banks do not loan out capital

to start-ups without collaterals. This creates an impact on their working capital, given a majority of start-ups do not earn profits before the first five years of operation.

Now, the government has broadened the definition of start-ups to



Digital transactions changing the monetary landscape

include companies set up seven years ago instead of five years that was mandated earlier. Eventually, a gathering pace in implementation of provisions under the initiative will help boost the start-up environment in the country, experts believe.

ROUND UP

While the various digital initiatives spread to different wings of the government, and with the expectation that digital payments or documentation might be made compulsory in some cases, there is need to change perceptions about digital money, or perhaps, the concept of digitisation as a whole.

There is a gender divide which is very much pronounced even when it comes to digitisation in the country. Reports suggest that a mere 29 per cent of the country's internet users are women. Only 28 per cent of women own cell phones, as against 43 per cent of men. Now this might be looked at as a simple lack of resources for women, but it has also a lot to do with the common activities they are associated with in the society.

There are women-centric initiatives to make them technologically advanced, but it's a tough ask to change several millennia of perception. We can only truly succeed in digitisation when we foster equality

of ownership of resources between men and women.

Digital currencies need to be trusted for them to succeed. Education, especially in rural areas is the next step. Since there's no point in knowing how to make digital payments when

you don't have internet access, infrastructure is the biggest hurdle we face for digitisation.

The government's smart city initiative will be a big enabler in building trust and exposing more people to digitisation, but it's going to take quite a while before that becomes reality.

The biggest threat to all of the government's initiatives, by far, is a lapse in cybersecurity. Whilst we Digit readers will be totally at ease with digital payments, and know all the ins and outs of cyber-security, a rural dweller need only lose a fraction of his hard earned money to fraud to forever lose faith in a digital system. Thus, government agencies and associated support functions need to take cyber-security way more seriously.

Moreover, regulations to protect sensitive personal information must be made stricter under the IT Act to save users from misuse of their personal data. A Data Protection Code, as adopted by the UK and European Union, for instance, will strengthen users' trust in the digital environment of the country, which is still at a sensitive juncture.

The bottom line, however, is that this isn't optional. Digital is the future, and we will all need to be dragged into it (kicking and screaming if need be), for the good of the country, and our own lifestyles. 